

Loan Agreement Bot Questions

Questions	Follow ups
Who is the Lender / Borrower	First of all, confirm if the person answering is the person who was ID'd. If they say they are the Lender / Borrower, then need to follow up to ask if it's them personally or a company they own / are a director of? If it's a company: ○ what is the company's full name? ACTION: Retrieve company info (name, company number, address) from Companies House – use that to populate agreement, but also good for the bot to show it to the client to confirm the details in the chat. ○ are they a director of the company? ○ If yes – ask if they will be signing the document. If so, ask their full legal name and add that detail to the signatory section OR if they have already given all that info on signup, use that info. In all cases, the bot will need to gain the lender's and borrower's full address(es). If it's a company, that will be its registered office address.
If there is more than one Borrower, the Bot will need to let them know that the liabilities under the loan agreement will be joint and several between the borrowers.	Might need to explain what joint and several means.
How much is the loan for?	Check it's in pounds sterling.
Will the loan be taken all at once or in stages?	
How long is the loan for?	
Can the loan be repaid early / paid off in stages?	
What security is being offered for the loan?	Give options (they can choose multiple): ○ First / Second charge on a property ○ A debenture (if the borrower is a company)

	○ A Personal guarantee – if so, need to know the details of the person giving the PG and their connection to the borrower, if any (i.e. director / shareholder etc). Might need to explain in conversation the difference between a first and a second charge, especially if a first charge is opted for. This is so that the person is sure on what they can get. Sometimes people think they can get a first charge because they want one, but the property has / will have a mortgage from a main lender and they will always insist on a first charge. If it's a Second Charge, the Bot would need to explain that the Borrower may need to get consent from their First Charge holder for the Second Charge.
If a Personal Guarantee is requested, the Bot should ask if, after completing this agreement, whether they want to add on a PG agreement for a discounted price.	This would be similar to the loan agreement AI work, but is much simpler as the PG's are quite standard.
If a first or second charge is selected, it'll need to ask for the full address of the property.	The Bot / AI will then need to liaise with the Land Registry to get the title number for the property. This information is available through an API as some platforms give this information on any plot you select, without paying the £7 for the title entry.
What is the "Purpose" of the loan?	The bot will need to explain that the loan agreement will state this <i>Purpose</i> in it and this means that the Borrower can only use the funds for this Purpose, ie. the deposit for a property purchase, so if the Borrower doesn't use it for this purpose, but instead uses it to buy a car, then the Lender can claim against the Borrower / call in the loan, because the Borrower didn't use the loan as they promised. The Purpose really needs to be as clear as possible and the bot might need to ask follow up question, such as the next few.
Is the Purpose related to any kind of property development?	This question will feed off of the reply to the Purpose question above, if it is not entirely clear. The reason for this is that there are clauses I have specifically drafted for when the loan is for a property development project.

If the Purpose is for the creation / renovation of a property, is that property to be sold or rented or either?	
If the loan is for a property, how much control information about the property is the Borrower happy to give the Lender / does the Lender want?	I.e. will there be a restriction not allowing the Borrower or any person related / connected to the Borrower from doing any of the following without the prior written consent of the Lender: ○ occupying the property; ○ creating or granting any interest in the Property in favour of a third party; or ○ renting out the property.
What is the rate of interest being charged or is it a fixed amount irrespective of time?	A fixed amount means, say for example the loan is for £100k for up to 1 year, and the Borrower has agreed to pay the Lender £10,000 interest even if he repays during the year.
If interest is not fixed, but at a rate, will the interest be paid for monthly, yearly or rolled up and paid at the end?	If it is rolled up, will the interest compound, i.e. if the loan is £100k at 10% for two years, with interest paid at the end of the two years, will the second year's 10% be on the original £100k only, or will it be on the £110k, including the interest? I.e. will there be interest on interest.
Will the repayments be made to a UK bank account or an overseas one?	This is just so that the AI knows what additional clauses it needs to add if payments are going overseas.
If the Borrower is a company, would the Lender want / is the Borrower happy to give, the Lender a lot of information about the operations of the Borrower?	If the Lender does want this information on the Borrower, how much information does he want / is the Borrower happy to give? The options are: (a) within 180 days (or sooner if they are available) after the end of each of its financial years, its audited consolidated accounts; (b) within 30 days after the end of each month, its monthly management accounts; (c) promptly, all notices or other documents dispatched by the Borrower to its shareholders (or any class of them) or to its creditors generally; and

	(d) promptly such financial or other information as the Lender may, from time to time, reasonably request relating to the Borrower or its business.
Can the agreement, and therefore the obligations and benefits of the agreement be assigned (passed to someone else) by the Lender?	
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Does the person answering want to execute the completed document via a DocuSign type facility?	This will be an add on service for a price.
Ask if they are happy for the courts of England and Wales to have exclusive jurisdiction over any dispute or claim connected with the agreement?	Yes / No. The bot should explain what this means and say that it is usual for the courts of England and Wales to have exclusive jurisdiction. If no, then where? The Bot should also tell them that this agreement is drafted under the laws of England and Wales. This cannot be changed.
If the Borrower is a company, how much additional information does the Lender want on the Company / its directors and shareholders before the have to give the loan?	Does the Lender want to see a copy of: A) a resolutions duly passed by the Borrower's board of directors: ○ approving the Borrower's entry into the agreement ○ authorising a specified person or persons to execute this agreement on its behalf, to give notices and take all other action in connection with associated security documents;

	○ confirming no limit on the powers of the Borrower or its directors to borrow money, give guarantees or create security would be exceeded by its entry into or performance of its obligations under this agreement or any of the Security Documents; and ○ confirming that entry into this agreement is in the commercial interests of the Borrower (stating the reasons for such conclusion). This can be provided for an additional fee. B) A resolution signed by all of the shareholder in the Borrower, approving the loan and any security documents the Borrower needs to enter into. This can be provided for an additional fee. C) A clear bankruptcy search against the Guarantor, Borrower and all company directors and shareholders of the Borrower including and excluding any middle names? If the lender does want this, then the bot will need to explain how they go about getting this (a land registry D16 form), but say that it can't do this as the form needs to be sent by post. The Bot could explain that they can search the insolvency register, but this only shows people and companies who have gone into insolvency, not those going through it.
The Bot should finally ask if there is anything else that hasn't already been covered?	If the answer is already covered, the Bot should tell them that it was already covered, but give them the option of returning that that question to amend their answer. If the information inserted in here is not covered, then pass the text inserted over to me to read and amend as needed.